

TAXPAYER MANIFESTO

What the next Government owes
New Zealand's taxpayers



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Whoever wins November's general election will inherit a government spending more than it collects, borrowing at an unsustainable level, and asking taxpayers to fund a bureaucracy that has grown far faster than the economy supporting it.

Each household now carries a \$140,000 share of government debt¹, up from \$29,000 in 2008². Servicing that debt costs each household \$4,904 a year in interest alone³, more than four times what it cost five years ago. New Zealand has not recorded a Budget surplus since 2019, and on current forecasts will not record one at any point this decade⁴. Meanwhile the public service has grown 48 percent since 2008⁵, and all the while New Zealanders have been getting poorer since 2023⁶.

At the same time, bracket creep quietly pushes taxpayers into higher tax brackets, rates bills continue to spiral, councils have drifted beyond their core purpose, and while Parliament exempts itself from the Official Information Act it expects almost everyone else in the public sector to comply with, regulation adds cost and delay to nearly everything New Zealanders try to build.

None of this is inevitable. It is the accumulated result of choices made by successive governments, and it will take deliberate choices to reverse.

This manifesto sets out five bottom lines the Taxpayers' Union believes the next Government should meet. During the campaign, they provide a checklist against which every party's promises can be measured. After 7 November, they should be the starting point for coalition negotiations, setting out the commitments any incoming government must be expected to sign up to before taking office.

- 1. STOP TAXING NEW ZEALANDERS MORE**
- 2. CUT WASTE AND BALANCE THE BOOKS**
- 3. MAKE GOVERNMENT ANSWER TO TAXPAYERS**
- 4. PUT COUNCILS BACK IN THEIR LANE**
- 5. LET NEW ZEALAND BUILD AND GROW**

01

STOP TAXING NEW ZEALANDERS MORE

A good tax system raises the revenue government needs while doing as little damage to the economy as possible. Taxes should be simple to comply with, transparent about who pays what, neutral between different economic activities, and stable enough that households and businesses can plan.

Taxes are collectively most families' largest cost, so tax policy needs to be based on evidence, not myths about who is paying their fair share or the idea that squeezing New Zealanders harder comes without costs to the economy.

New Zealand's productivity crisis makes that discipline more important, not less. Treasury found in 2024 that productivity growth had averaged barely 0.2 percent a year over the previous decade⁷. Paying for health, education, welfare, and superannuation requires growth, and tax policy should stop getting in its way.

No new taxes

The next Government should rule out increasing taxes or introducing any new taxes, including a wealth tax, death tax, or new capital gains tax. Taxpayers should not face an ever-expanding list of new ways for the Government to take more of what they earn, save, invest, or pass on to their families.

A wealth tax is particularly damaging because it taxes the same capital year after year, regardless of whether that wealth is producing any income. Homes, farms, businesses and savings can all be caught, creating pressure to sell assets simply to meet the tax bill. Treasury modelling forecasts 17.5 percent of New Zealand's wealth would leave the country for every one percent of a wealth tax⁸, so a 2.5 percent tax could in theory drive out nearly 44 percent of the country's wealth.

Death taxes have similar problems. They can force families to sell farms or businesses built up over generations simply because ownership has passed from one generation to the next. They are also easily avoided barely accounting for 0.5 percent of average tax revenue across the OECD⁹ while imposing significant costs and uncertainty on grieving families.

The principle should be simple: the next Government should live within the existing tax base, not invent new taxes to fund more spending.



End the inflation tax

Income tax thresholds are not adjusted for inflation, so as wages rise to keep pace with the cost of living, taxpayers get pushed into higher brackets despite being no better off in real terms. It is a hidden, automatic tax rise no government ever has to legislate for. Brackets were last adjusted in 2024; thanks to bracket creep, a median earner will pay \$480.14 more this year than if thresholds were pegged to inflation¹⁰. Indexing them would fix that for good.

Back investment

Full expensing lets businesses deduct the entire cost of new machinery and technology in the year they buy it, rather than depreciating under complex IRD rules and classifications. Investment Boost was a start. It allows businesses to write off 20 percent immediately, but does not go far enough. Tax Foundation research puts full expensing's growth impact at more than double an equivalent corporate tax cut¹¹. Over the long term, full expensing is almost free because it largely changes when the government collects tax, rather than how much it collects. If boosting economic growth and productivity is the objective, full expensing is the best bang for buck of tax relief.

Flatten income tax

The top 20 percent of earners already pay close to two thirds of all income tax collected, and the top one percent alone pay more than the majority of New Zealanders combined¹². Marginal rates this steep blunt the incentive to work, save, and take on risk. The next Government should lower marginal rates and simplify the bracket structure, funded through spending discipline rather than punishing people for working hard and getting ahead.

Keep GST simple and shift tax away from income

New Zealand's GST is one of the most efficient in the world because it applies broadly, at a single rate, with almost no exemptions. As a result, compliance is high and compliance costs are low. Carving out fruit and vegetables, power, or clothing sounds appealing, but the biggest beneficiaries are those who spend the most, not those most in need. Once one carve-out gets through, it opens the door to decades of lobbying for the rest.

Over time, governments should also rebalance the tax mix away from work, income, and savings and towards broad-based consumption. Around two thirds of IRD's revenue currently comes from personal and corporate income tax, and about a third from GST. A revenue-neutral tax swap would raise the same money with less damage to growth.

02

CUT WASTE AND BALANCE THE BOOKS

Spending within its means is the foundation of a country's long-term security. It is what enables governments to fund health, education, and superannuation, keeps pressure off inflation and interest rates, and leaves room to react when the next shock arrives.

Neither major party is planning to run a surplus even once this decade. National's plan to bring core Crown spending to 30 percent of GDP would still leave government spending higher than Jacinda Ardern and Grant Robertson's 2019 Wellbeing Budget. Labour now wants to push government spending higher still, to one dollar in every three in the economy¹³. The public service has grown by nearly half since 2008¹⁴, while government debt now stands at \$140,000 per household¹⁵. Each household's interest bill alone has quadrupled in five years to \$4,904 this year¹⁶.

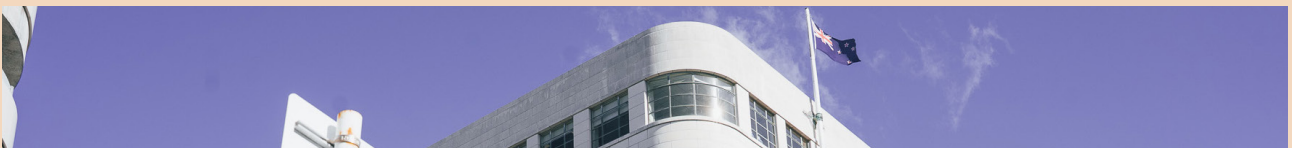
Every dollar borrowed is just delayed tax for the next generation. Tough talk about fiscal discipline is meaningless unless the next Government is prepared to set a limit, cut waste, and make departments justify what they spend.

Balance the books

A hard ceiling on the size of the state is the clearest constraint against ever-rising spending. Core Crown spending currently sits at 32.6 percent of GDP¹⁷. Working towards a 25 percent cap is hardly radical, sitting just 2.3 percentage points below what the Ardern government managed in 2018, but it would force government to prioritise and put the books back on a sustainable path.

Cut the public service headcount to no more than 47,251

Before the last Labour government, New Zealand's core public service employed 47,251 people. That number grew by 18,418, or 39 percent, in six years¹⁸. There are now 48 percent more bureaucrats than in 2008, not counting frontline doctors, nurses, teachers, and police. National's target of 55,000 would still leave the public service around 8,000 roles larger than in 2017. All of Labour's increase must be reversed.



Make every dollar justify itself

Most government spending simply carries over last year's baseline plus an automatic increase, rather than being justified from the ground up. Zero-based budget reviews would force ministers to examine budgets line by line, ask whether a programme would be started today if it did not already exist, and cull spending that fails to deliver value for money.

End corporate welfare

Government spends close to \$3 billion a year on grants and subsidies that pick winners rather than let businesses compete on merit. The now-closed \$3 billion Provincial Growth Fund, for example, produced, at most, 11,000 jobs at a cost of \$272,000 each¹⁹. Winding back corporate welfare could be worth \$930 million in the first year alone and \$4.79 billion by 2030²⁰. The same discipline should apply to duplicative climate subsidies: where the ETS already prices emissions under a fixed cap, extra taxpayer-funded schemes should have to prove they achieve something the ETS does not.



End the public-sector premium

The average public service salary is \$103,300²¹, a full 20.5 percent higher than the private sector equivalent. This alone is costing taxpayers \$1.14 billion this year in additional salary bills. Public servants also took an average of 10.26 sick days last year, against a national average of 6.7²². Reining this and other public sector extravagances in would save taxpaying households more than \$670 a year each. Public-sector pay and entitlements should be brought back into line with comparable private-sector roles.

03

MAKE GOVERNMENT ANSWER TO TAXPAYERS

Almost every dollar the Crown has either comes straight from taxpayers' pockets or is funded through debt they will eventually have to repay. Taxpayers have a right to see what government does with their money and to hold to account the people who spend it. Too often, spending information is hard to obtain, hidden behind vague claims of privacy or commercial sensitivity, or withheld outright.

Accountability also means consequences. Ministers are answerable in Parliament for departments they often have limited power to control, while senior officials can fail upwards with little practical consequence. Responsibility should sit with people who have both the authority to make decisions and the obligation to defend them.



Open the books to enable ‘Armchair audit’

The OIA and LGOIMA are the public’s most important tools for holding government to account, but both are undermined by loosely defined withholding grounds, a culture that defaults to secrecy, and release timeframes that are weakly enforced. All spending should be proactively published in a searchable central database to enable armchair audit as is common in North America. Bureaucrats’ personal liability for obstruction should be enforced. Parliament itself sitting outside the OIA is indefensible. There is no principled reason MPs and their staff shouldn’t face the same financial scrutiny as teachers, doctors, and public servants. Parliament must Open the Books.

Put ministers in charge

Chief executives are appointed and managed by the Public Service Commissioner, yet ministers are held accountable in Parliament for the departments those chief executives run. Germany takes a different approach: the senior administrative leadership of federal ministries includes political civil servants who serve under the minister’s direction and can be removed from active office when that relationship of political confidence breaks down. New Zealand should adopt a similar model, so ministers who make poor appointments are directly answerable to Parliament for the results.

That responsibility also needs to be clear. MBIE alone currently reports to 19 different ministers, making it too easy for accountability to be passed around. Every department should report to a single minister. Cross-departmental functions should be absorbed into a single ministry where possible, and functions that cannot be justified should be cut.

Keep the Reserve Bank accountable

A return to a split focus on both inflation and employment would undermine accountability at the Reserve Bank. When the two diverge, as they inevitably will, the Bank can always point to progress on one to excuse failure on the other. Watering down that accountability under the last government had disastrous consequences. Inflation hit 7.3 percent²³ as Governor Orr was too slow to react, and New Zealand is still feeling the effects of the overzealous reaction that followed. The single mandate is what makes the Bank accountable at all: inflation is measurable, and everyone can see if it’s hitting its target.

Make performance matter

Pay across much of the public sector rises with length of service and grade rather than results. Removing genuinely underperforming staff is slow and difficult, which protects underperformance at the public’s expense. From chief executive down to frontline staff, pay should be dependent on clearly defined performance measures. Genuine performance management, including faster, fair-process removal where it’s warranted, is also key where bureaucrats are consistently failing to deliver value for taxpayers.

04

PUT COUNCILS BACK IN THEIR LANE

Local government has strayed a long way from its core purpose of delivering services to properties efficiently and being accountable to the people who pay for them. Rates bills rose 34 percent on average over the last three year council term²⁴, and public confidence that councils can deliver services effectively is at historic lows. Councils increasingly act like mini-Parliaments, wading into social housing, emissions targets, and community wellbeing projects far beyond their remit.

Cap rates now

Rates hikes consistently outpace inflation, and ratepayers have no real mechanism to stop them. The Government's proposed cap of two to four percent a year would still guarantee real rates increases over time and would prevent councils from ever freezing rates altogether. A cap tied to Consumer Price Index inflation, covering rates, fees, and levies with no carve-outs and starting immediately, would put a genuine stop to this. Councils wanting to go higher should need ratepayer approval through a referendum, putting control back in voters' hands. There should be no delay: Waiting until 2029 would incentivise councils to hike rates now before the cap comes into effect.

Stick to the basics

Section 12(2) of the Local Government Act gives councils "full capacity to carry on or undertake any activity or business, do any act, or enter into any transaction," letting them spend ratepayer money on almost anything. This duplicates central government projects and allows waste on nice-to-haves. Scrapping this 'power of general competence' would mean any function the Crown wants a council to perform has to be set out explicitly in law. Councils are service-delivery agencies, not mini-Parliaments.

No amalgamation without a public referendum

The evidence does not support a proposition that larger councils perform more efficiently. Auckland's Super City shows amalgamation can just as easily mean a bigger bureaucracy and higher costs, with more staff than all the pre-existing Auckland councils combined²⁵. Amalgamation should not be imposed on a community from above. It should require independent verification that it will genuinely cut duplication and deliver better value than alternatives like shared services, and must be put to a binding public referendum. If amalgamation is genuinely in ratepayers' interests, it will be able to win that vote.

Elected members must have rights to all information

Council chief executives routinely withhold information from the councillors elected to govern and hold them to account. Elected officials are often left to rely on the same LGOIMA request process as the public to obtain information. Company directors have an individual statutory right to any and all information held by the company. Councillors should have no fewer rights than company directors. The current Local Government (System Improvements) Amendment Bill moves in the opposite direction, giving chief executives an even stronger veto over the common law rights councillors have to access information held by the organisation.



Put voters back in control

Democratic decisions should be made by democratically elected representatives. Unelected appointees to council committees can exercise spending and regulatory power despite never having faced voters. They should be restricted to an advisory role, with key decisions resting with elected officials who are accountable to voters.

Ratepayers should also have a direct way to remove councillors who lose public confidence through recall elections. If 10 percent of voters sign a recall petition, a referendum should decide whether that councillor stays or goes. That puts the decision in voters' hands rather than leaving accountability to political rivals and code-of-conduct processes.

The same principle should apply to council finances and communications. Standardised accounting rules for matters such as asset valuation, recognition, and cost classification would let ratepayers compare councils on a like-for-like basis. Councils should also have a clear duty to be truthful, akin to the Fair Trading Act requirements placed on private companies.

05

LET NEW ZEALAND BUILD AND GROW

The cost, uncertainty, and delay imposed by poorly designed regulation are as real a burden on households and businesses as any tax. They fall hardest on new entrants and small operators that cannot afford teams of consultants and lawyers. Good regulation manages genuine harm to others. Bad regulation protects incumbents, steers behaviour, and substitutes officials' judgement for that of the people bearing the cost. Individual Kiwis should not get stuck with the bill for restrictions on their own property rights.

Restore property rights

The Resource Management Act has become a major brake on housing, infrastructure, and investment. It imposes long delays, high costs, and pervasive uncertainty on anyone trying to build. Its replacement is supposed to prioritise property rights, regulate genuine effects on others, and make consenting faster, cheaper, and more certain, rather than treating almost any use of private property as something requiring official permission first. But the proof is in the pudding. Vague, subjective concepts like te Mana o te Wai have no place in a future framework; resource management law should be clear, objective, and testable.

If government restricts, government pays

When regulation takes or materially restricts the use of someone's property, the cost falls on the owner while the claimed benefits are shared by everyone. Government can impose real costs on private owners without them ever having to account for them in its own ledgers. Requiring compensation fixes both the incentives and the unfairness. If government has to pay when it restricts property rights, it has to weigh the public benefit against the actual cost rather than pretending regulation is free.

Let competitors compete by ending corporate welfare

Excessive market power in sectors such as groceries and energy is often the product of regulatory barriers to entry. Restrictive planning rules, overbearing compliance costs, and limits on foreign investment can protect incumbents from competition. Lowering those barriers serves consumers. Subsidising or protecting established players does not.



Put a price on red tape

The actual cost of regulation should not be left for businesses and households to discover after the fact. Agencies should have to quantify and publish the compliance cost of significant new rules before they are imposed, just as they would for a major capital project. If the benefits cannot be shown to outweigh the social costs, the regulation should not proceed.

Make regulation expire with a ten year maximum

Regulation rarely gets a second look once it's in force. It can sit on the books indefinitely, even if the problem it was designed to solve no longer exists. Sunset clauses reverse that, by requiring rules to be periodically re-justified or lapse automatically. This forces the Government to make the case for keeping it, applying the same cost-benefit discipline expected of new regulation to the tangled web of existing rules, and keeps the costs of old regulation front of mind.



CONCLUSION

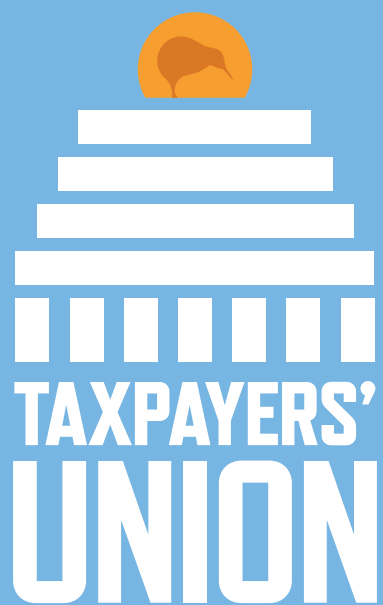
New Zealand's fiscal position, the size of its state, and the quality of its regulation all show up in every household's tax and rates bills, and every business' cost of producing. The five bottom lines above set out what the Taxpayers' Union believes the next government owes the people funding it: lower taxes, less waste, and more accountability, delivered through credible reform of local government and a new approach to regulation.

New Zealand has borrowed its way through past crises because it had the fiscal headroom to do so. That headroom is gone. Every party contesting this election should say plainly which of these commitments it will make: stop taxing New Zealanders more, cut waste and balance the books, make government answer to taxpayers, put councils back in their lane, and let New Zealand build and grow. Taxpayers have earned nothing less.

Wellington
September 2026

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